

Dolomite Margin Audit Summary

Prepared by Cyfrin

Version 3.0

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1 About Cyfrin

Cyfrin is a Web3 security company dedicated to bringing industry-leading protection and education to our partners and their projects. Our goal is to create a safe, reliable, and transparent environment for everyone in Web3 and DeFi. Learn more about us at cyfrin.io.

2 About This Document

This document is a public summary of the security audit Cyfrin performed for Dolomite on Dolomite Margin. It records the repositories and commits reviewed, the timeline, auditors, in-scope files, and the number and final status of findings by severity. It closes with Cyfrin's attestation of the review's scope and final remediation status.

It is deliberately abbreviated: the technical detail of individual findings is not reproduced here. The complete audit report, version 3.0 dated August 26, 2023, was delivered to Dolomite, who retain it as the full record of the engagement. This summary was issued on October 29, 2026.

3 Disclaimer

The Cyfrin team makes every effort to find as many vulnerabilities in the code as possible in the given time but holds no responsibility for the findings in this document. A security audit by the team does not endorse the underlying business or product. The audit was time-boxed and the review of the code was solely on the security aspects of the in-scope code being audited. Unless the scope explicitly notes otherwise, the review is limited to the application layer and does not extend to the correctness of API/SDK/execution environment implementations, compilers, standard and third-party libraries, underlying operating systems and hardware.

4 Copyright and License

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5 Audit Overview

Over the course of 25 days, the Cyfrin team conducted an audit on the Dolomite Margin code provided by Dolomite. The findings consist of 5 Medium & 6 Low severity issues with the remainder being informational.

Summary

Project Name	Dolomite Margin
Repository	v2
Commit	e10f14320ece...
Audit Timeline	June 12th - July 14th, 2023
Methods	Manual Review

Issues Found

Severity	Found	Resolved	Acknowledged
Critical Risk	0	0	0
High Risk	0	0	0
Medium Risk	5	2	3
Low Risk	6	3	3
Informational	4	2	2
Gas Optimizations	0	0	0
Total	15	7	8

6 Audit Scope

At commit e10f14320ece20d7492e8e68400333c5c7dec656, contracts in the following files and directories of the dolomite-margin repository were in scope:

```
contracts/protocol
contracts/external/proxies/BorrowPositionProxyV1
contracts/external/proxies/BorrowPositionProxyV2
contracts/external/proxies/DepositWithdrawalProxy
contracts/external/proxies/GenericTraderProxyV1
contracts/external/proxies/LiquidatorProxyV4WithGenericTrader
contracts/external/proxies/MarginPositionRegistry
```

7 Risk Classification

	Impact: High	**Impact: Medium**	**Impact: Low**
Likelihood: High	Critical	High	Medium
Likelihood: Medium	High	Medium	Low
Likelihood: Low	Medium	Low	Low

8 Protocol Summary

Dolomite Margin is a composable margin trading and lending protocol, forked from dYdX Solo, running on Arbitrum One L2.

Its key concepts are:

- Markets: each supported ERC20 token has a dedicated market with a price oracle, interest setter contract and risk parameters.
- Collateral-only mode: certain assets are allowed as collateral but cannot be borrowed against.
- Virtual liquidity: assets are aggregated into virtual balances for trading, borrowing and pooling within Dolomite Margin, without on-chain token transfers.
- Capital efficiency: liquidity is recycled to generate multiple sources of yield through internal trading.
- Minimum collateralization: all positions must maintain a minimum collateralization level to avoid liquidation.
- Isolation mode: allows specific borrowing and collateralization rules and native interactions with underlying tokens.
- Dynamic interest rates: rates are determined algorithmically from the ratio of borrowing to supply.

Actions drive state changes in Dolomite Margin: deposit, withdraw, transfer, buy, sell, call, liquidate and vaporize. Internal balances are updated without on-chain token transfers.

9 Attestation

Cyfrin attests that it performed a security review of the Dolomite Margin code provided by Dolomite.

The repositories, commits, review period and findings with their final status are in the Summary and Issues Found tables in Section 5, and the in-scope files in Section 6. This attestation is limited to the documented scope, audited commits and mitigations specifically reviewed by Cyfrin.

Cyfrin publishes this document and its SHA-256 hash at https://github.com/Cyfrin/cyfrin-audit-reports. To check a copy on macOS or Linux, run the following in the folder that contains it; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name. Before running it, check that the URL is Cyfrin's repository.

```
U=https://github.com/Cyfrin/cyfrin-audit-reports/raw/main/reports/sha256
N=2023-08-26-cyfrin-dolomite-margin.pdf
F=$N
H=$(curl -fsSL $U/$N.sha256 | cut -d' ' -f1)
echo "$H *$F" | shasum -a 256 -c
```

Cyfrin's full audit report with all findings provided to Dolomite has the SHA-256 hash and file name below. To check a copy of it, first check this document as above, then run the following in the folder that contains the full report; it prints `OK` when the copy matches. If the copy was renamed, set F to its file name.

```
H=c4dabf99d84494fd5beed0f943717b97fb94f29ddaf4bef49492c3c1e0dc9d8f
F=2023-08-26-cyfrin-dolomite-margin-full.pdf
echo "$H *$F" | shasum -a 256 -c
```

On Linux, `sha256sum -c` can be used in place of `shasum -a 256 -c`. On Windows, run `Get-FileHash <file> -Algorithm SHA256` in PowerShell and compare the result with the hash.